

standability. There are thousands of small companies, but not many that meet these criteria.

But no matter how selective you are, things still go wrong.

Disappointments go with the small-cap territory. That is why diversification is so important. Maybe you've heard about a great little company that seems to have everything going for it, but if that is to be your only small-cap holding, keep your money in the bank. You should own at least a dozen stocks if they are all small-cap, so a couple of winners can offset a couple of duds. A portfolio of well-researched small companies should be no riskier than a portfolio of large, well-known companies. (The need for diversification is also a strong argument for investing in small-caps through mutual funds, which are required by law to be diversified. More on this later.)

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You need to diversify in another way, also. Your total investment portfolio should include large-company stocks, or large-company mutual funds, along with the smaller fry. For reasons no one has satisfactorily explained, small-cap stocks go through cycles of investor favor. When people comment on the health of "the market," they mean the Dow Jones Industrials or the S&P 500 Index. The chart of the patient in the next bed—that is, small stocks—may look quite different. There are really two distinct markets, and their fortunes alternate.

If we look at recent history, for example, we find that from 1963 to 1968 small-company stocks did better than the blue chips. From 1969 to 1974 it was the blues' turn. From the end of 1974 until mid-1988—a generous, wonderful, eight-and-a-half-year cycle—